

Digital Governance & M&A Readiness



What will we learn today?



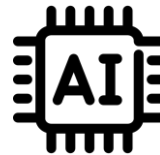
Digital Governance

Understanding Digital Governance - its meaning, significance, key risks & benefits & how global regulatory trends are shaping the future of board oversight



Cybersecurity Governance

About Cybersecurity governance, its global trends and board's role in overseeing cybersecurity



Artificial Intelligence (AI) & Emerging Digital Risks

Meaning and types of AI, Opportunities and risks of AI and Board Responsibilities in Emerging AI & Digital Risks



Mergers & Acquisitions Strategy & Approval

Meaning, Scope and purpose of M&A and strategic role of the Board in Approving & Integrating M&A

Which digital challenge concerns you the most today as a decision-maker?

Cyber Breach

AI Misuse

Data Privacy Failures

Vendor Tech Services

Digital Governance exists to control all...

1

Digital Governance

From Paper to Pixels



Digital Governance: What it means?



What it means?

- It is a framework of **policies, processes, roles and responsibilities** that guide how an organization uses **digital tools, manages data and makes decisions**.
- It's not just about **IT**, it's about creating trust, enabling innovation, and safeguarding against risks.



Where does it apply?

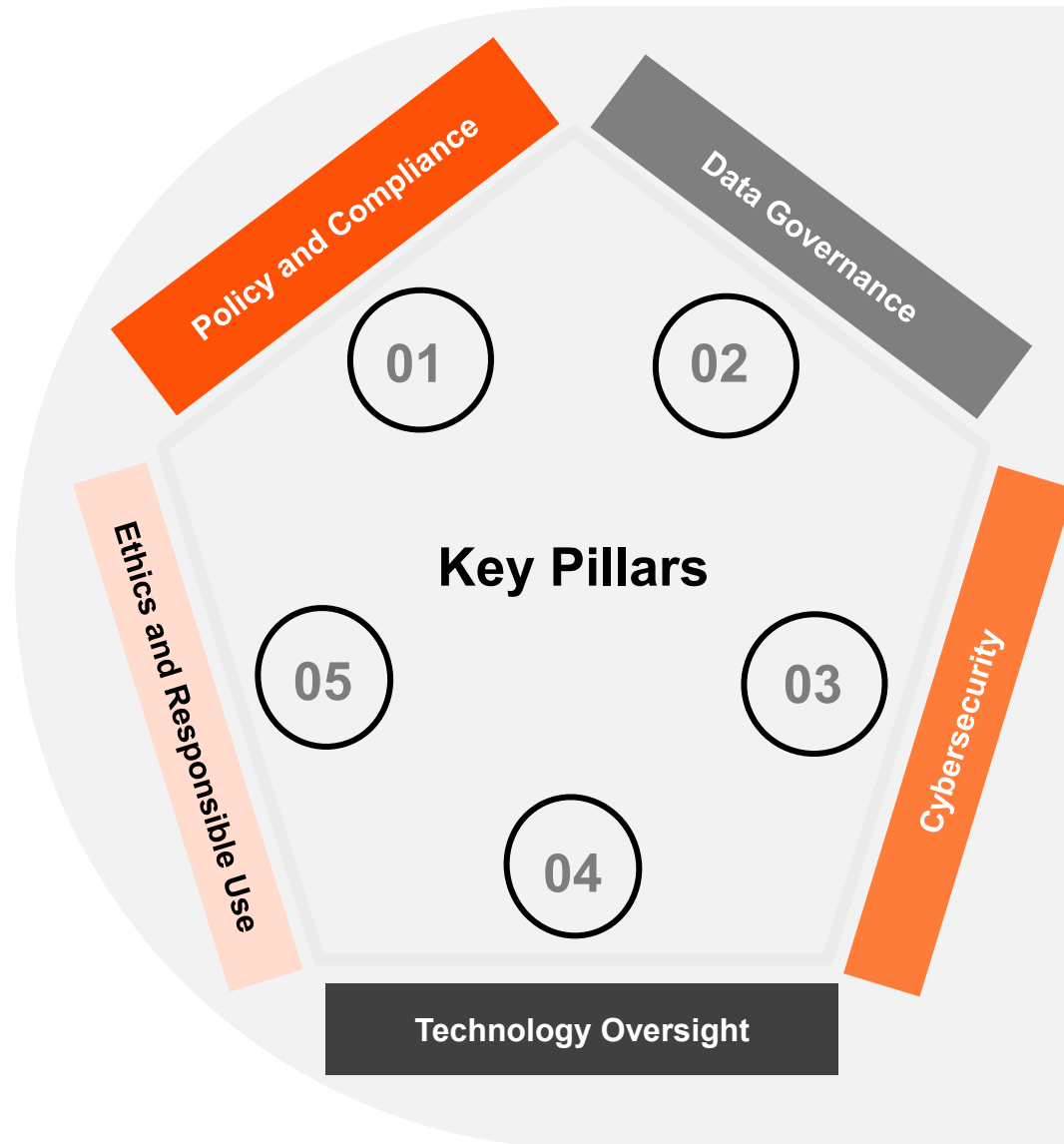
- **Board & Executive Level:** Digital board portals, e-voting, virtual meetings
- **Regulatory Compliance:** MCA21, Stock Exchange platforms, ESG dashboards, GDPR, SOX digital reporting
- **Internal Digital Operations** Digital contract management, procurement portals, AI-based risk monitoring, Cloud storage, ERP solutions.
- **Public-Facing Channels:** Company's websites, investor relations platforms, social media platforms.



Who is responsible?

- **Board :** Approve digital strategy, monitor digital risk, ensure compliance.
- **CIO & CDO:** Oversee technology integration, digital transformation roadmap
- **CISO:** Manage cyber resilience and incident response.
- **Compliance & Legal Teams:** Ensure digital activities, comply with regulatory and contractual obligations.

Digital Governance : Key Pillars



Policy & Compliance

Establish clear digital policies aligned with legal & regulatory requirements such as data privacy laws and cybersecurity standards.



Data Governance

Strong control over data quality, security and access to avoid risk



Cybersecurity

Proactive protection and quick incident response against cyber threats



Technology Oversight

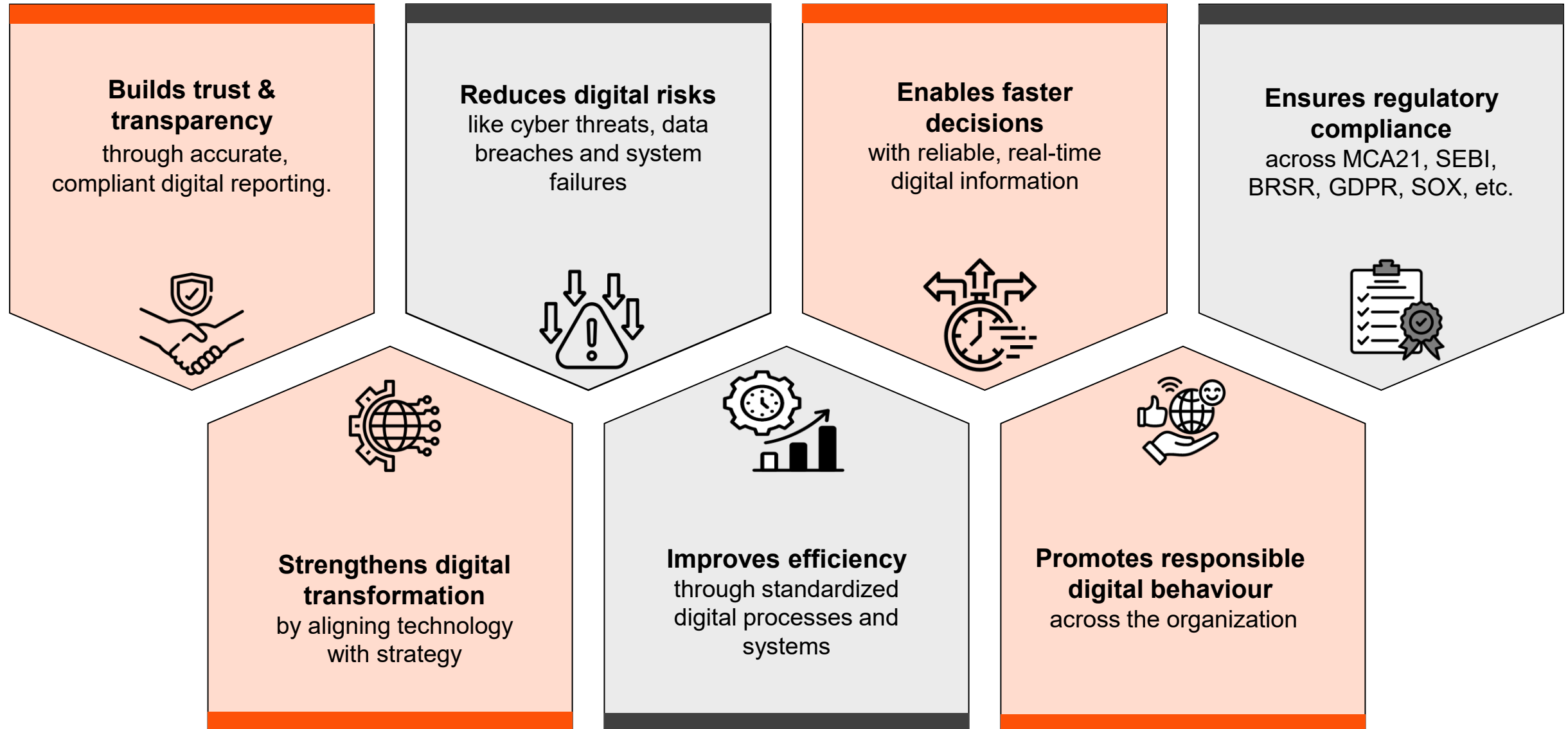
Ensure AI, cloud and IoT align with business goals and ethics.



Ethics and Responsible Use

Prevent bias, protect users and promote fair, inclusive digital practices.

Digital Governance: Why it matters?



Digital Governance : Real-life scenarios and strategic recommendations

Real-life Scenario	Lessons Learned	Strategic Recommendations
 Large-scale data breach exposed millions of personal records due to weak system maintenance, leading to heavy penalties & reputational damage	 Embedded Governance Governance must start with digital initiatives to ensure effectiveness & avoid oversight	 Establish Governance Council Create a dedicated council with clear accountability
 Nationwide healthcare IT transformation project failed because of unclear requirements & weak governance, causing long delays in modernization	 Balancing Standards & Autonomy Federated models like data mesh balance central standards with domain autonomy for scalable compliance	 Adopt Federated Governance Use scalable governance across business units
 Public sector payroll system upgrade saw massive cost overruns due to poor vendor oversight & weak controls	 Automation for Compliance Automation improves efficiency and audit readiness	 Invest in Automation Tools Leverage automation for compliance & reporting accuracy
	 Ethical AI & Privacy Privacy & ethics must be integral to AI governance	 Embed Ethics and Training Embed privacy, ethics & continuous governance training

Digital Governance : Key Challenges faced by the Board

Organizational Resistance

1

- Employees fear loss of control and increased monitoring
- Legacy mindset resists process standardization
- Low digital literacy slows adoption
- Change fatigue from continuous transformations

Rapid Technology Evolution

2

- AI, IoT, and automation evolve faster than policies
- Governance frameworks struggle to stay updated
- Skill gaps emerge at board and leadership levels
- High cost of constant technology upgrades

Regulatory Complexity

3

- Multiple overlapping global and local regulations
- Frequent changes create compliance uncertainty
- High documentation and reporting burden
- Risk of penalties due to interpretation gaps

Data and Cybersecurity Issues

4

- Poor data quality impacts decision-making
- Rising cyber threats and ransomware attacks
- Weak access controls increase insider risks
- Data privacy breaches damage trust and reputation

Which 3 puzzle pieces are MOST important for building a digitally mature, future-ready board?”

Transparency



Efficiency



Cybersecurity



ESG Reporting



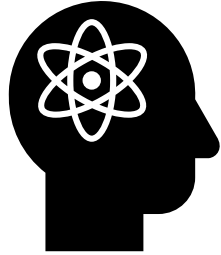
Board Portals



AI Dashboards



- ☐ Pick **3 pieces**
- ☐ Rank them: **#1, #2, #3**
- ☐ Explain why?
- ☐ What did you exclude and why is it less important ?



Which cyber threat poses the
greatest risk to your
organization today?

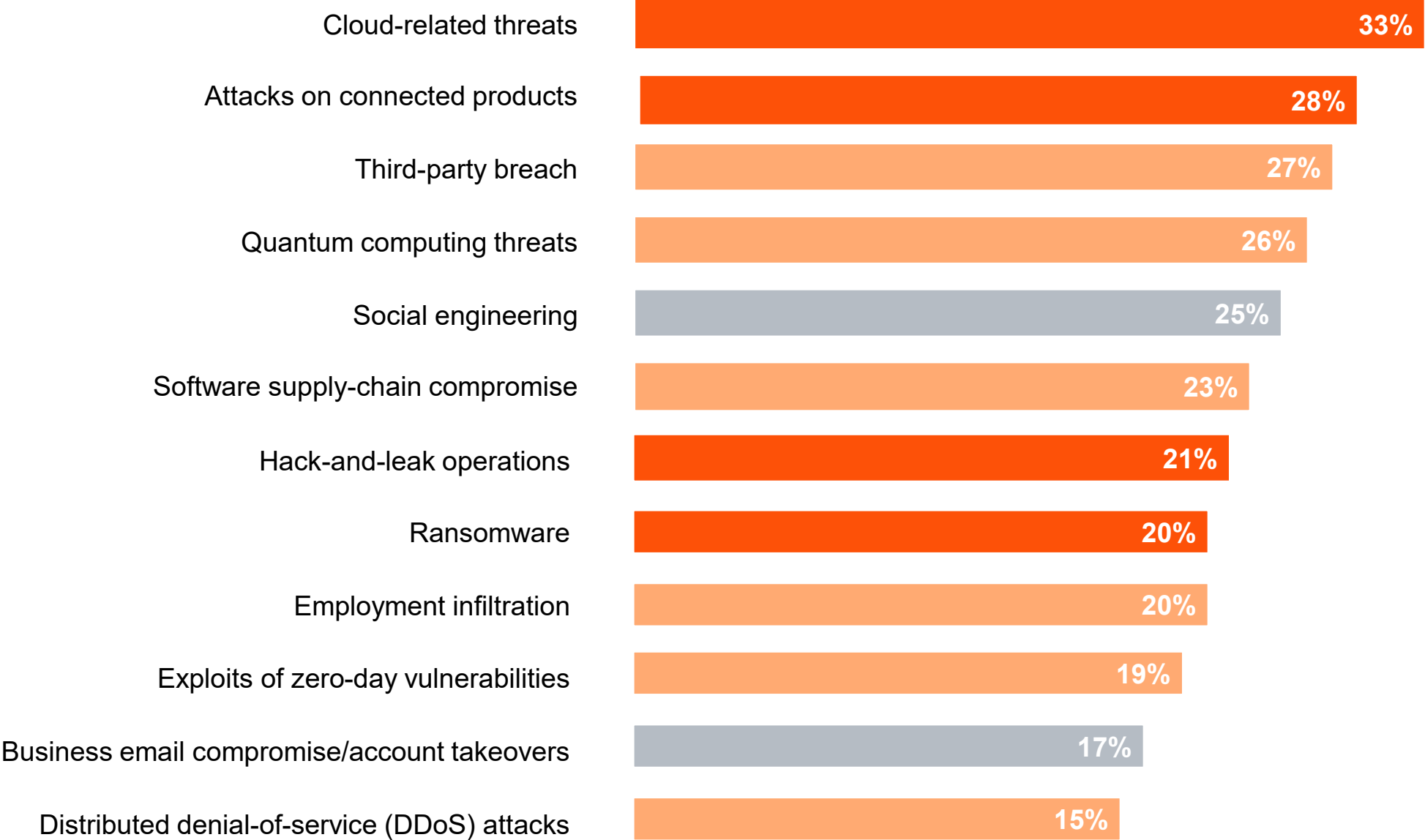
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Cybersecurity Governance at Board Level *The Invisible Boardroom Guest*



Cybersecurity Threats and Breaches

% that ranked in their top three threats



Source : <https://www.pwc.com/us/en/services/governance-insights-center/library/assets/pwc-2026-cybersecurity-oversight.pdf>

Cybersecurity Governance : Key Challenges faced by the Board

Limited Cyber Capability at Board Level

- Directors lack deep cybersecurity and technology expertise
- Difficulty in interpreting technical risk reports
- Gaps between business strategy and cyber risk understanding

Rapidly Evolving & Complex Threat Landscape

- AI-enabled cyberattacks & ransomware on the rise
- Shadow IT & remote work expanding the attack surface
- New vulnerabilities emerging faster than controls

Regulatory & Compliance Pressure

- High compliance and reporting burden on boards
- Risk of penalties due to non-alignment
- Continuous monitoring required for regulatory updates

Weak Preparedness, Culture & Accountability

- Inadequate cyber incident response & recovery readiness
- Cybersecurity not embedded into organizational culture
- Lack of clear ownership and accountability
- Limited crisis simulation and response testing

Strategic & Enterprise Risk Integration Challenges

- Cyber risk not always treated as a strategic priority
- Budget seen as cost centre rather than value enabler
- Third-party and supply chain vulnerabilities
- Poor integration of cyber risks into overall ERM framework

Cyber threats faced by Corporates : Illustrations

01



02



03



04



05



Phishing & Business Email Compromise (BEC)

Examples

Large IT services company suffered a **phishing-led breach** enabling remote system access and financial fraud

Ransomware – Double Extortion & Data Leaks

Defense manufacturing company faced a **ransomware attack** with extensive data leakage on the dark web.

Supply Chain Attacks – Third-Party Risk

An airline's technology service provider was **compromised**, exposing customer login credentials.

AI-Enabled Threats – Deepfakes & Automation

AI-generated fake executives in a multinational corporate setup were used in video calls to manipulate an employee into transferring funds.

Cloud Security Gaps – Misconfiguration & Shadow IT

Financial service company faced a **massive data breach** due to cloud misconfiguration & weak access control

Key Takeaways

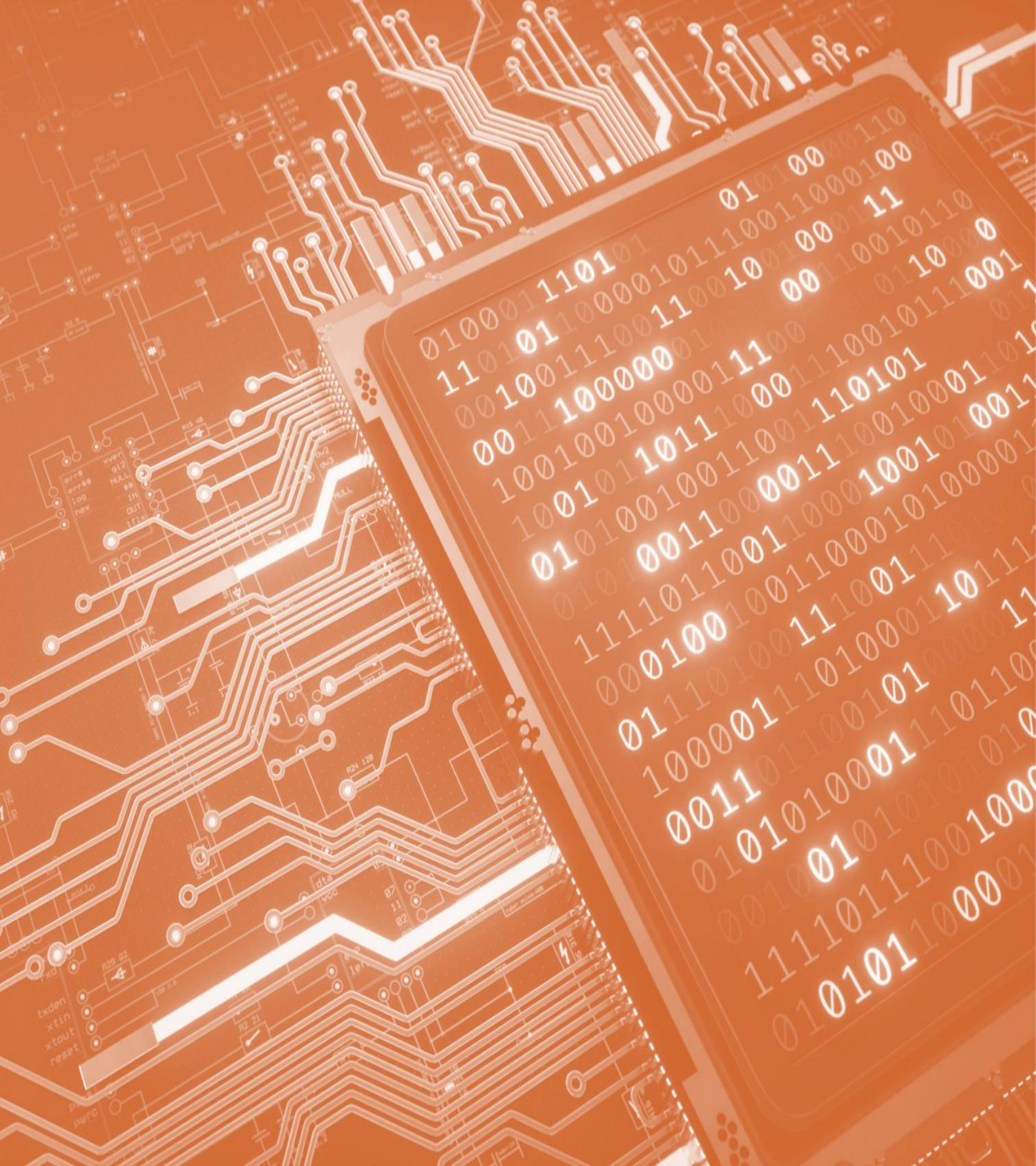
Email authentication & user awareness - critical first lines of defense

Incident response & data encryption - board-level priorities

Third-party cyber risk - be actively monitored, not assumed.

Financial approvals - To shift from trust-based to control-based systems

Access controls & visibility overshadow IT are essential



Board's Role in overseeing cybersecurity

How do you know whether
your company is doing all it
should?

Board's Role in overseeing cybersecurity

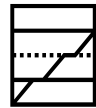
Four essential elements where boards can lead on cybersecurity governance

*Embed cyber risk in strategy
& culture*



Ensure cybersecurity is woven into every decision from market expansion to vendor partnerships

*Dimensions of cyber risk
management program*



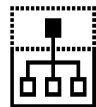
Evaluate how management identifies, quantifies & mitigates the most critical risks, using frameworks like NIST CSF 2.0

Monitor cyber resilience



Validate that incident response, disaster recovery & crisis escalation plans are tested & aligned with disclosure requirements

Rethink oversight allocation



Reassess whether oversight resides appropriately (full board, audit, technology committee) & **ensure** the necessary skills & cadence are in place.

Fastest- Finger First

Q1- Who should ideally oversee cybersecurity at board level?

- A. Only IT team
- B. Only CFO
- C. Full board or designated committee with expertise
- D. External vendors

Correct Answer : C

Q2 - Which board responsibility ensures the organization can RECOVER after attacks?

- A. Budget approval
- B. Cyber resilience monitoring
- C. Audit reporting
- D. Vendor onboarding

Correct Answer : B

Q3 - Why is regulatory pressure a CORE board-level cybersecurity challenge?

- A. High cost of software
- B. Frequent audits and compliance updates
- C. Vendor delays
- D. Slow internal approvals

Correct Answer : B

Q4. When does cyber risk FAIL to get strategic importance?

- A. When audits are frequent
- B. When vendors manage security
- C. When budgets increase
- D. When treated as an IT cost, not business value

Correct Answer : D

A hand is shown from the wrist up, palm facing forward, holding a large, glowing digital letter 'A'. The 'A' is composed of intricate circuit patterns and is surrounded by concentric circles of light. The background is dark with various technological motifs, including gears, circuit lines, and a small icon of a computer monitor with gears in the bottom left corner.

How much do you **trust** AI
outputs in business decisions &
why?

Very High

High

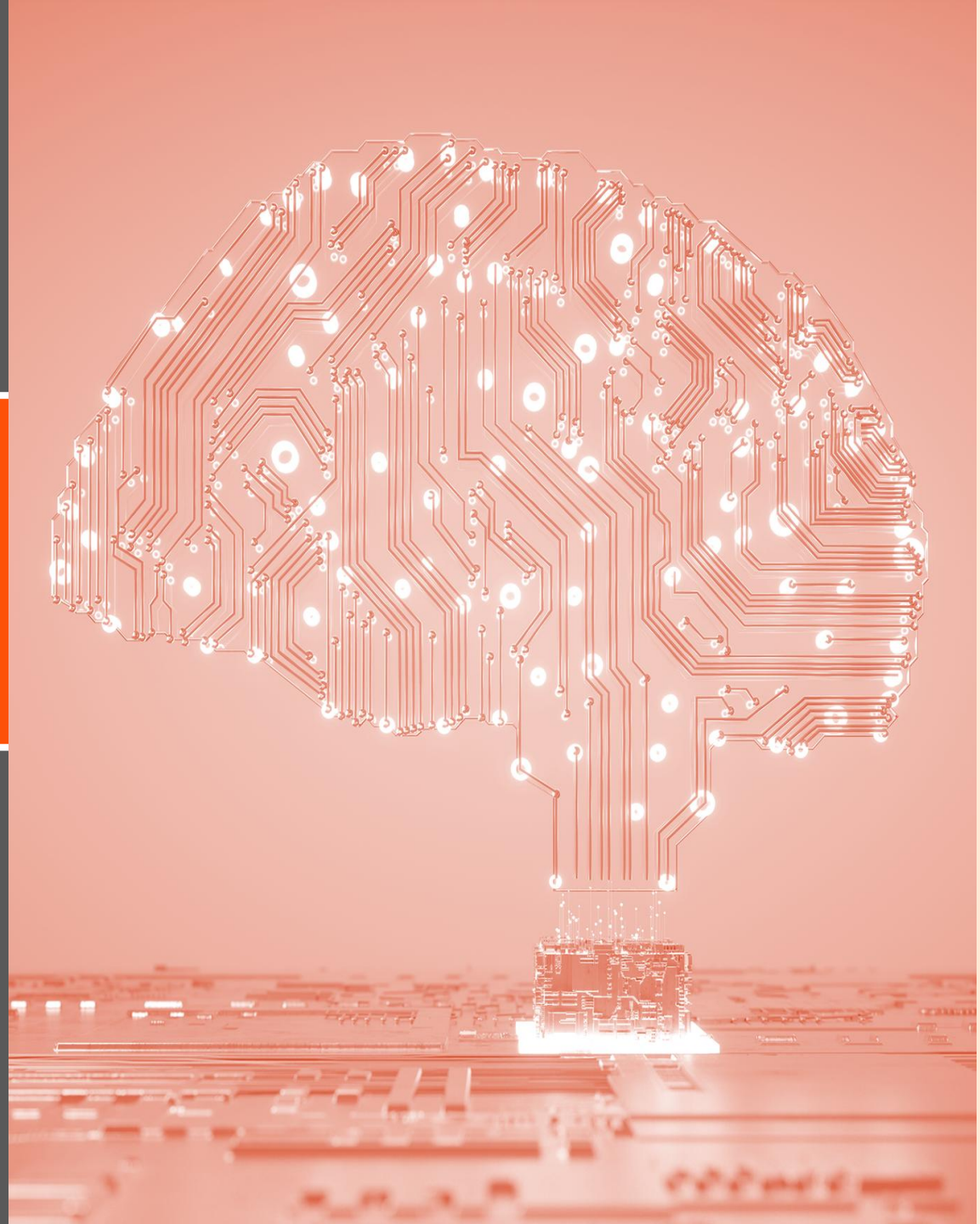
Moderate

Low

No Trust

3

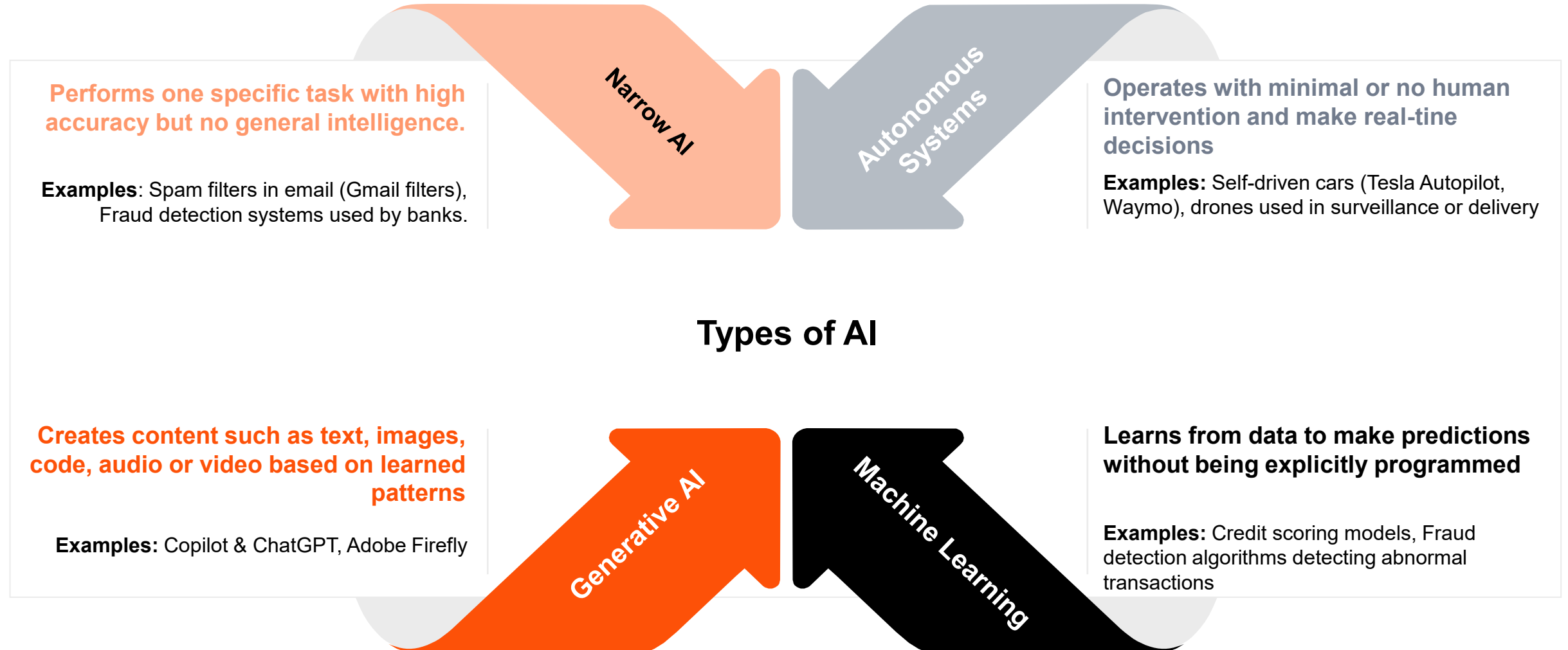
AI & Emerging Digital Risks
Governance is not in silos – neither are risks



What is Artificial Intelligence ?

Artificial Intelligence (AI) refers to systems or algorithms that perform tasks that typically require human intelligence—such as learning, reasoning, predicting & decision-making.

Types of AI, Boards should be aware of:



Opportunities from AI : Value Creation



AI drives significant strategic & operational advantages



Efficiency & Automation



- Automates routine tasks, reduced costs, increased productivity
- Enhances workflow accuracy in finance, HR, compliance

Innovation & Growth



- New product lines (AI-enabled services, personalization)
- Faster M&A due diligence through AI-assisted analysis

Better Decision-Making



- Predictive analytics for forecasting, customer insights & risk sensing
- Real-time dashboards improving management visibility

Enhanced Customer & Stakeholder Experience



- Hyper-personalized offerings
- Lower friction in service delivery

Emerging Risks from AI

As AI technologies accelerate globally, it's important to recognize & prepare for the **potential risks & challenges** that come with their expanding use.

.....

Data Privacy & Security Risks

AI technologies often collect & analyze large amounts of personal data, raising issues related to data privacy & security

Lack of transparency

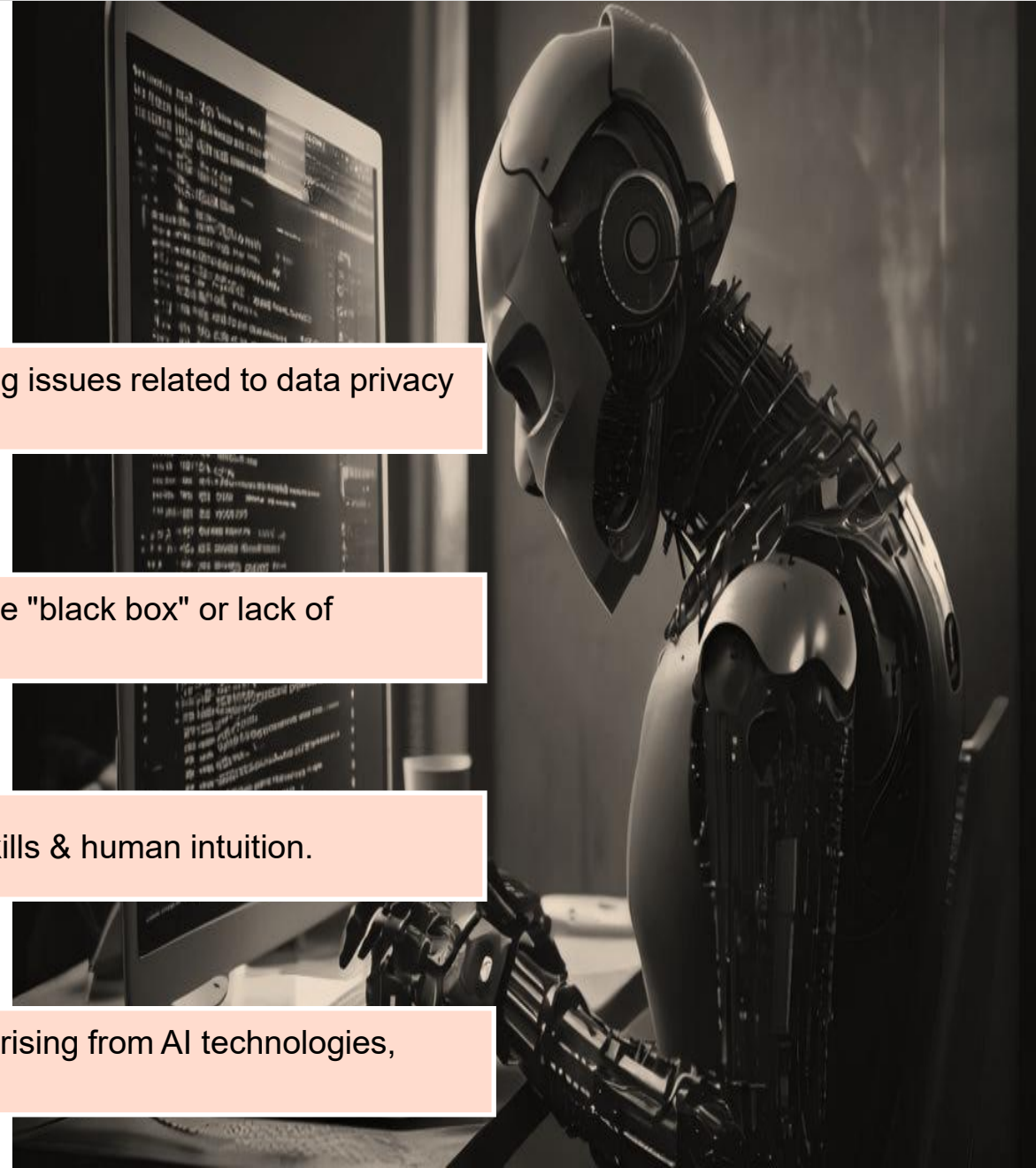
Difficult to understand how an AI arrives at a decision, a problem known as the "black box" or lack of explainability makes it hard to identify and fix errors or biases

Dependence on AI

Overreliance on AI systems may lead to a loss of creativity, critical thinking skills & human intuition.

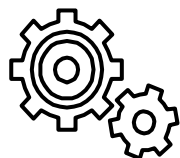
Regulatory Challenges

Crucial to develop new regulatory frameworks to address the unique issues arising from AI technologies, including liability & intellectual property right



Board Responsibilities in Emerging AI & Digital Risks

1



Strategic Oversight

- **Ensure** AI aligns with business goals & risk appetite
- **Oversee** responsible AI adoption policies

2



Risk & Compliance Oversight

- **Monitor** AI risk management, auditability & controls
- **Ensure** compliance with regulatory frameworks

3



Ethics & Governance

- **Establish** AI ethics principles
- **Ensure** explainability & human-in-the-loop for critical process

4



Talent & Capability Building

- **Validate** leadership has AI literacy
- **Oversee** upskilling & responsible use culture

5



Technology & Investment Oversight

- **Review** AI investments, 3rd party tools
- **Confirm** robustness of cybersecurity & privacy controls

6



Crisis Preparedness

- **Ensure** mechanisms to detect & respond to AI-related incidents (bias, model drift, breaches)

Critical takeaways from real- world AI cases

Digital Education Platform

Platform came under regulatory scrutiny for deploying automated hiring tool that filtered out applicants solely based on age criteria

Case was resolved with a **significant monetary settlement**, underscoring risks of unchecked algorithmic decision-making in recruitment

Airline Industry- Chatbot Error

Traveler relied on airline's AI chatbot for guidance on bereavement discount but was later denied the benefit due to conflicting policy rules

Court ruled that airline was **responsible for the chatbot's misinformation**

Technology Industry

Tech Company used automated screening tool to filter job applications. The system was found to unfairly downgrade applications from women for tech roles because it had learned patterns from historically biased hiring data.

As a result, the automated model **reinforced** past discrimination & was eventually **withdrawn**

Video-Conferencing Platform

Platform faced criticism for updating its terms to allow user content to be used for AI training, raising serious privacy concerns as calls often contain sensitive personal data

Following public backlash, **policy was revised** to clearly state that user communications would not be used for AI model training

Key Takeaways

- **Human accountability is essential** for all AI-driven decisions
- **Biased data leads to discriminatory outcomes**
- **Transparency and consent** are critical in AI use
- Poor AI governance can result in **legal, reputational and financial damage**

AI Truth or Myth

AI always makes accurate decisions without errors.

Truth

Myth

Boards must ensure AI aligns with strategy and risk appetite.

Truth

Myth

AI can help automate routine tasks and reduce costs.

Truth

Myth

AI systems never collect personal data.

Truth

Myth

Ransomware attacks can exploit AI systems

Truth

Myth

AI Truth or Myth – Correct Answers

AI always makes accurate decisions without errors.

Ans - AI can produce inaccurate outputs and create **reputational or operational risks**.

Truth

Myth

Boards must ensure AI aligns with strategy and risk appetite.

Ans - This is part of **Strategic Oversight**.

Truth

Myth

AI can help automate routine tasks and reduce costs.

Ans - This is an **Efficiency & Automation** opportunity.

Truth

Myth

AI systems never collect personal data.

Ans - AI often collects large amounts of data → **Data Privacy & Security Risks**.

Truth

Myth

Ransomware attacks can exploit AI systems

Ans - This is part of **Emerging Cybersecurity Risks**.

Truth

Myth

4

Board's Role in M&A Strategy & its Approval

In governance, ignorance is never bliss

M&A

The background of the right half of the slide features a hand pointing at a hexagonal grid. The grid contains various business-related icons: a bar chart with an upward arrow, two heads with a dotted line between them, a target with an arrow, a globe, a bar chart with an upward arrow, two people silhouettes, a lightbulb, and a network diagram. The text 'M&A' is prominently displayed in the center of the grid.

What is M&A and its Scope?

01

Merger/ Amalgamation

Under a merger, two or more entities combine to **form a single entity**. This usually involves creation of a new entity or one company absorbing another.

02

Demerger

Under a demerger, a single business is broken into components, either to be **sold** or to be **dissolved**.

03

Slump Sale

Slump sale involves **transfer** of undertaking constituting a business activity on a going concern basis.

04

Joint Venture

It is a business or contractual arrangement between two or more parties which agree to **pool resources** for the purpose of accomplishing a specific task may be a new project or any other business activity

05

Share sale/ itemized sale

This involves **sale** of either of **whole or part of shares** held by the shares or sale of identified assets of the Company

Purpose of M&A



Accelerated Growth and Market Expansion

Strengthening Competitive Position

Access to Technology, Innovation & Intellectual Property

Diversification of Risk

Talent Acquisition & Human Capital Enhancement

Synergies & Cost Efficiencies

Transformation & Strategic Restructuring

Financial Advantages and Tax Benefits



“If your company were pursuing an M&A, which two purposes would best address its current needs?”

Overall Target Selection Criteria & Indicators for Acquisition

01

Preferred Target Size, Scale, and Industry Focus

02

Location & Geographic factors

03

Technical expertise, skills and operational capability

04

Ownership Structure



Market Coverage & Distribution Channels

05

Customer type and profile & Product certifications

06

ESG, Sustainability & D&I Expectations

07

Other strategic fit factors (e.g., brand strength, digital maturity, licenses)

08

Strategic Role of the Board in Approving & Integrating M&A



The Board's strategic role in approving and integrating M&A is to ensure the deal aligns with long-term strategy, delivers value, manages key risks, and oversees seamless post-merger integration for sustained success.

Board Must Ensure



Strategic Fit

Is the deal aligned with long-term corporate vision and competitive positioning?



Value Creation

Clear articulation of expected synergies – revenue, cost, technology, customer access.



Risk Governance:

Identification of deal risks and mitigation plans.



Cultural Compatibility:

Cultural misfit is the No. 1 reason M&As fail globally.



Integration Readiness:

Ensuring leadership and resources are committed for post-merger integration.

Choose your instincts
There is no right or wrong answers

Scenario:

If conducting a due diligence phase of a merger, what three categories of factors must be assessed as a Board.

(Hint : You may consider financial /reputational / compliance / governance / Profitability perspectives)

EXPLORE. EXCHANGE. EXCEL.

Key factors to evaluate could be...

Financial Factor



Compliance & Regulatory Factors



Governance & Control Factors



- Revenue trends, profitability & cash flows
- Valuation & deal pricing rationale
- Debt & liabilities exposures
- Synergy potential & cost-saving opportunities
- Impact on shareholders' value & Earning Per Share
- Working capital & funding requirements post-merger

- Approvals required under different laws
- Pending litigations, tax exposures & regulatory notices
- Data protection, cybersecurity & industry - specific compliances
- Environmental, labour & employment law compliance
- Contractual risks with customers, vendors & lenders

- Board structure, independence & leadership alignment
- Related party transactions & conflict of interest risks
- Internal controls, audit quality & risk management framework
- Post-merger governance integration & decision-making authority

When strategy meets governance : Tech M & A Stories

Facts of the case

Challenges faced

Benefits

Key Takeaways

Global Messaging Platform Acquisition

- **Deal size:** ~US \$19 billion
- **Year:** 2014
- **Industry:** Social Media & Messaging
- **Objective:** Global user expansion

- Company faced **serious privacy & data protection concerns**
- Acquisition attracted **heavy regulatory scrutiny** worldwide
- Continuous pressure to **monetize the platform sustainably**

- Deal **enabled** massive **penetration** into emerging markets
- **Strengthened leadership** in the global messaging ecosystem
- **Supported** seamless **cross-platform integration**

- **User trust** and **strong data governance** became critical priorities after the acquisition.

Professional Networking Platform Acquisition

- **Deal size:** ~US \$ 26.2 billion
- **Year:** 2016
- **Industry:** Enterprise Tech & Professional Network
- **Objective:** Enterprise ecosystem expansion

- **Data privacy management** remained a key concern
- Integration of two large platforms added **operational complexity**

- Acquisition created a **strong B2B data advantage**
- **Enabled integration** of SaaS & CRM solutions
- **Strengthened Microsoft's leadership** in the enterprise market

- Data and platform synergies play a crucial role in **driving sustainable enterprise value**

Thank you

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